

Geeta Sharma v. State of U.P. & 3 Others

Allahabad High Court · Division Bench · 15 May 2023 · 2023:AHC:104898-DB · Writ - C No. 13570 of 2023 · **Writ disposed of. The impugned final assessment was withdrawn as defective. Proceedings on the fresh provisional notice dated 11.05.2023 are to be concluded strictly under the U.P. Electricity Supply Code, 2005. Costs of Rs. 10,000 awarded to the petitioner, recoverable by respondent no. 2 from the erring officers.**

HEADNOTE

In a case of alleged theft of electricity, Clause 6.8 of the U.P. Electricity Supply Code, 2005 requires fifteen days' clear notice before a provisional assessment can support a final bill. An undated provisional notice received on 31.01.2023, calling for objections by 14.02.2023, did not give that notice, and the undated final bill of Rs. 25,50,121 was issued without a date of hearing and without a speaking order, although objections had been filed on 06.02.2023. A later notice dated 01.05.2023, giving only seven days' clear notice and leaving the final bill in force, was contrary to Clause 6.8; inviting fresh objections without withdrawing the final assessment is an empty formality, and repeating the same short-notice defect does not cure it. The Managing Director of Pashchimanchal Vidyut Vitran Nigam Limited then withdrew the bill as defective, reported disciplinary proceedings against the erring officers, and relied on a fresh provisional notice dated 11.05.2023. The writ was disposed of with a direction that those proceedings be concluded strictly under the Code, and with costs of Rs. 10,000 to the petitioner, left recoverable by respondent no. 2 from the erring officers. The merits and quantum of the theft assessment were not decided.

FACTUAL SUMMARY

Geeta Sharma filed Writ-C No. 13570 of 2023 against an undated final assessment bill of Rs. 25,50,121 raised by Pashchimanchal Vidyut Vitran Nigam Limited for alleged theft of electricity. An undated provisional notice, received on 31 January 2023, called for objections by 14 February 2023. She filed objections on 6 February 2023. Her case was that the notice had not given fifteen days' clear time, and that the final bill followed without a hearing date and without a speaking order.

On 24 April 2023 the Court gave the Electricity Department time to take instructions and stayed coercive action. On 2 May 2023 the Department produced a notice dated 1 May 2023 requiring objections and a personal hearing by 8 May 2023, without withdrawing the final bill. The Court called for the Managing Director's personal affidavit. By 15 May 2023 the Managing Director had withdrawn the bill as defective, reported disciplinary proceedings against the erring officers, and relied on a fresh provisional notice dated 11 May 2023.

REUSABLE CONSTRUCTIONS

1. A provisional assessment notice under Clause 6.8 of the U.P. Electricity Supply Code, 2005 must give the consumer fifteen days' clear notice to file objections. A notice that gives only seven days' clear notice is contrary to Clause 6.8. ¶ 1
2. A final assessment issued without fixing a date of hearing and without a speaking order does not comply with Clause 6.8, even if the consumer has already filed objections to the provisional notice. ¶ 1
3. Inviting fresh objections without withdrawing the earlier final assessment is an empty formality. A further notice that repeats the same short-notice defect, while that final assessment remains in force, does not cure the breach of Clause 6.8. ¶ 1
4. Where repeated faulty assessment notices subject a consumer to unnecessary harassment, the writ court may award costs to the consumer and leave the licensee to recover that sum from the erring officers. ¶ 5

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

QUESTION

Does a provisional assessment notice that gives only seven days' clear notice to file objections and to appear for hearing comply with Clause 6.8?

HOLDING

No. Clause 6.8 requires fifteen days' clear notice. The undated provisional notice received on 31.01.2023, requiring objections by 14.02.2023, did not afford fifteen days' clear notice. The petitioner nevertheless filed objections on 06.02.2023. The fresh notice dated 01.05.2023, requiring objections and appearance by 08.05.2023, gave only seven days' clear notice and was contrary to Clause 6.8. The assessing officer's attempt to cure the first defect repeated the same mistake. ¶ 1

QUALIFIER

The order names Clause 6.8 and does not cite a sub-clause. The demand was for alleged theft of electricity. The Court did not discuss Clause 8.1.

FLAG Composite order-sheet: interim order 24.04.2023, reasoned order 02.05.2023, and disposing order 15.05.2023 (Neutral Citation No. 2023:AHC:104898-DB). Only paragraph 1 of the 15.05.2023 order is numbered; it sets out the 02.05.2023 order in full, which contains the Clause 6.8 holding. Later paragraphs of 15.05.2023 are unnumbered and are pinned here as 2 to 5. No precedent is named. Executive Engineer S.K. Pandey issued the 01.05.2023 notice.

HOLDING-UNIT · UP-2005::6.8

Final assessment without a hearing date or speaking order; fresh objections while it remains in force are an empty formality

QUESTION

Can a licensee cure a final assessment passed without a hearing date and without a speaking order by inviting fresh objections while that final assessment remains in force?

HOLDING

No. The final assessment bill was issued without fixing any date for hearing and without a speaking order. Because that bill was not withdrawn, inviting fresh objections was an empty formality. After the Managing Director's affidavit withdrew the bill as defective, reported disciplinary proceedings, and relied on a fresh provisional notice dated 11.05.2023, no further direction was required on the withdrawn bill except that the proceedings on the 11.05.2023 notice be concluded strictly in accordance with the Supply Code. Costs of Rs. 10,000 were awarded to the petitioner for harassment by repeated faulty notices, recoverable by respondent no. 2 from the erring officers. ¶ 1, 4-5

QUALIFIER

The Court did not itself quash the bill; the licensee withdrew it as defective. Counsel stated that the disciplinary proceedings would be taken to their logical end. Recovery on the impugned bill had already been stayed on 24.04.2023 and again on 02.05.2023.

FLAG Paragraph 1 is the incorporated order of 02.05.2023. Paragraphs 4 and 5 are the unnumbered disposal and costs paragraphs of the order dated 15.05.2023.

PRINCIPLE TAGS

15-days-clear-notice-mandatory-before-final-theft-assessment The case was one of alleged theft. The Court held that the provisional notice received on 31.01.2023 did not give fifteen days' clear notice, and that the notice dated 01.05.2023, giving only seven days, was contrary to Clause 6.8. ¶ 1

6.8-procedure-mandatory Clause 6.8 was applied as a mandatory notice requirement. Seven days' clear notice, and a final bill issued without a hearing date, did not satisfy it. ¶ 1

provisional-assessment-hearing-6.8b The final bill was issued without fixing any date for hearing, although the petitioner had filed objections on 06.02.2023. The Court treated the absence of a hearing date as a defect under Clause 6.8. ¶ 1

speaking-order-required-for-theft-assessment In this alleged-theft assessment the final bill was issued without a speaking order. That omission, with the want of a hearing date, meant the bill could not stand; the licensee later withdrew it as defective. ¶ 1, 2

Non-compliance with Clause 6.8 led the Court to hold the fresh short notice ineffective while the final bill remained, to continue the stay of recovery, and to accept withdrawal of the bill as defective. Recovery on that bill was not allowed to proceed. ¶ 1, 4

Repeated faulty notices were held to have harassed the petitioner. The Court awarded costs of Rs. 10,000 and left respondent no. 2 to recover that sum from the erring officers. Disciplinary proceedings had already been initiated, and counsel stated they would be taken to their logical end. ¶ 2-5

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND QUANTUM OF THE ALLEGED THEFT AND OF THE BILL OF RS. 25,50,121

The impugned bill was withdrawn as defective. Liability, if any, was left to a fresh assessment on the notice dated 11.05.2023, to be concluded strictly under the Supply Code. ¶ 2, 4

NOT DECIDED — WHETHER THE FRESH PROVISIONAL NOTICE DATED 11.05.2023 ITSELF GAVE FIFTEEN DAYS' CLEAR NOTICE

The Court did not examine the contents of that notice. It directed only that the proceedings initiated on it be concluded strictly in accordance with the Code. ¶ 2, 4